Trade Promotion Policy

Section 1: Trade Spend Categories

Trade spend is divided into three categories: off-invoice discounts (deducted directly from the invoice at time of sale), bill-back allowances (paid to the retailer/distributor after proof of performance, such as a completed display period), and slotting fees (one-time payments for shelf placement, primarily used for new product introductions).

Section 2: Standard Discount Limits

Off-invoice trade discounts for standard promotional activity may not exceed **12%** of list price without Category Manager approval. This ceiling exists to protect brand price positioning — deeper discounts train retailers and consumers to expect promotional pricing as the norm, which erodes full-price sell-through over time.

Section 3: Bill-Back Allowance Structure

Bill-back allowances require proof of performance before payment: photographic evidence of the agreed display, a minimum display duration (14 days for Modern Trade, 21 days for General Trade), and confirmed incremental volume versus the account's trailing 90-day baseline. Allowances are typically 3-8% of the promoted volume's list price value.

Section 4: New Product Introduction (NPI) Slotting

Slotting fees for new product introductions are negotiated per account and per category, and are treated as a marketing investment rather than a recurring trade cost — they should not be repeated for the same SKU at the same account within a 12-month window except for a significant packaging or formulation relaunch.

Section 5: Promotion Calendar Coordination

All trade promotions must be logged in the shared promotion calendar at least 6 weeks before the promotion start date, to avoid two competing promotions for the same category running simultaneously at the same account, which fragments retailer shelf/display capacity and dilutes the effectiveness of both promotions.